

Proposal for Study and Analysis of Tariff Orders of the Discoms issued by the 1SERCs

It is proposed to carry out a study and analysis of the tariff orders issued by the SERCs for the distribution companies for the FY 2024-25, including the trued up tariff order for the previous FY 2023-24. For this study, AIDA has approached REC. A discussion between the officials of AIDA and REC, in VC mode, took place on 10th June , 3:30 pm. The following officers were present:

1. Sri Alok Kumar, Director General, AIDA
2. Sri Satyendra Nath Kalita, Director (Regulatory Affairs), AIDA
3. Sri Dharmendra Nagpal, ED, REC
4. Sri Abhinav, PwC

The report shall focus on the compliance of various provisions of policies and rules framed by MoP, GoI for determination of tariff by the SERCs. The broad outline of the report will be as below:

As the study shall be a joint effort of AIDA and REC, AIDA will provide support in collecting information from discoms, if required and also assist REC in monitoring the progress of study from time to time.

1. Frequency of the report: Yearly (to be published by 3rd week of October 2025)
2. The report will cover all the tariff orders of SERCs for the distribution companies issued till 30th June 2025.
3. The report will cover the following matters:
 1. Disallowances in the power purchase costs
 1. Limit on short-term purchases (whether judicious or not)
 2. Disallowances due to mis-match in the AT&C loss trajectory from the trajectory prescribed in the Rules.
 3. Criterion used (average or highest per unit power purchase cost) while disallowing of quantum and cost
 4. Sharing of losses on account of power purchase with the consumers
 2. Regulatory Assets (RA)
 1. Quantum of RA and individual trend (increases or decreases over the years)
 2. Creation of new RA after 1 April 2023
 3. Whether carrying cost is allowed and if the interest rate is considered in line with the cost of debt being incurred by discoms
 4. The gap in average cost of Supply and the per actual revenue realised (Total and Per unit)
 5. What steps have been taken to liquidate the RA as per provisions of the Rules

3. Collection efficiency (CE) and billing efficiency (BE): if trajectory for CE & BE, by considering the current actuals, have been provided as prescribed in the Rules
4. Fuel and power purchase price adjustment (FPPPA):
 1. Automatic pass on of FPPPA on monthly basis without approval of the SERC
 2. If there are any limitation on automatic pass on of FPPPA
 3. If carrying cost is allowed on the amounts not automatically passed on.
5. Actual fixed cost of Discom vs fixed cost allowed to recover as per tariff schedule (as a percentage of Total cost and on per unit basis)
6. Tariff Subsidy: Whether SERC has notified a Tariff Schedule without considering subsidy, as required by Tariff Policy
7. O&M Norms: whether in line with the CEA "Guidelines for Benchmarking of Operation & Maintenance (O&M) Norms for Distribution Utilities"
8. Prior-period adjustments as a percentage of total ARR
 - whether it is so large that it is impacting current costs of Discom
9. Cross-subsidy:
 1. Whether it is within a band of 20%
 2. Actual band of cross-subsidy

The Consultant working with REC shall prepare a brief on detailed structure of the report and the procedures & methodology to be followed. This will be jointly reviewed by AIDA and REC.